

Agenda Item 2-D

Category 1 Items: IESBA NOCLAR Exposure Draft vs. the IAASB's International Standards

Note to IAASB: This document compares the IESBA NOCLAR Exposure Draft (ED) with related material from the IAASB's International Standards for items giving rise to proposed amendments to the International Standards (that is, "Category 1" items). Not all Category 1 items appear in the table below, as some are new paragraphs.

Comparative Analysis: IESBA NOCLAR Exposure Draft vs. Extant ISA 250

IESBA NOCLAR ED	Extant ISA 250	Comments
225.14 The professional accountant is expected to apply knowledge, judgment and expertise, but is not expected to have detailed knowledge of laws and regulations beyond that which is required for the audit.	... Nevertheless, the auditor's training, experience and understanding of the entity and its industry or sector may provide a basis to recognize that some acts, coming to the auditor's attention, may constitute non-compliance with laws and regulations.	The ISA guidance is generally focused on the audit process. It is not repeated in Section 225. No change recommended.
Whether an act constitutes actual non-compliance is ultimately a matter for determination by an appropriate legal or adjudicative body.	5. ... Whether an act constitutes non-compliance is ultimately a matter for legal determination by a court of law. A4. Whether an act constitutes non-compliance with laws and regulations is a matter for legal determination, which is ordinarily beyond the auditor's professional competence to determine. ...	See paragraph 13(g) of Agenda Item 2-A.
... Depending on the nature and significance of the matter, the professional accountant may consult on a confidential basis with others within	A16. If management or, as appropriate, those charged with governance do not provide sufficient information to the auditor that the	The ISA guidance is more focused on the audit process and consideration of the impact

IESBA NOCLAR ED	Extant ISA 250	Comments
the firm, a network firm, a relevant professional body, or legal counsel.	entity is in fact in compliance with laws and regulations, the auditor may consider it appropriate to consult with the entity's in-house legal counsel or external legal counsel about the application of the laws and regulations to the circumstances, including the possibility of fraud, and the possible effects on the financial statements. If it is not considered appropriate to consult with the entity's legal counsel or if the auditor is not satisfied with the legal counsel's opinion, the auditor may consider it appropriate to consult the auditor's own legal counsel as to whether a contravention of a law or regulation is involved, the possible legal consequences, including the possibility of fraud, and what further action, if any, the auditor would take.	on the financial statements. It is not repeated in Section 225. No change recommended.
Responsibilities of Professional Accountants Performing Audits of Financial Statements <i>Complying with Applicable Laws and Regulations</i> 225.10 In some jurisdictions, there are legal or regulatory provisions governing how professional accountants should address non-compliance or suspected non-compliance with laws and regulations. The professional accountant shall obtain an understanding of those provisions and comply with them, ...	<i>Reporting Non-Compliance to Regulatory and Enforcement Authorities</i> 28. If the auditor has identified or suspects non-compliance with laws and regulations, the auditor shall determine whether the auditor has a responsibility to report the identified or suspected non-compliance to parties outside the entity. (Ref: Para. A19–A20)	Section 225 is focused on requiring the auditor to <i>understand</i> the relevant legal or regulatory requirements and to comply with them. Serves the specific purposes of the proposed NOCLAR standard, i.e., to stimulate increased incidence of compliance by auditors with legal or regulatory reporting requirements. ISA 250 focused more narrowly on determining whether there is

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		a reporting obligation on the auditor. No change recommended.
... including any prohibitions on alerting (“tipping-off”) the client prior to making any disclosure, for example, pursuant to anti-money laundering legislation.	–	See paragraph 13(b) of Agenda Item 2-A.
	A19. The auditor's professional duty to maintain the confidentiality of client information may preclude reporting identified or suspected non-compliance with laws and regulations to a party outside the entity. However, the auditor's legal responsibilities vary by jurisdiction and, in certain circumstances, the duty of confidentiality may be overridden by statute, the law or courts of law. In some jurisdictions, the auditor of a financial institution has a statutory duty to report the occurrence, or suspected occurrence, of non-compliance with laws and regulations to supervisory authorities. Also, in some jurisdictions, the auditor has a duty to report misstatements to authorities in those cases where management and, where applicable, those charged with governance fail to take corrective action. The auditor may consider	See paragraph 13(b) of Agenda Item 2-A.

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	it appropriate to obtain legal advice to determine the appropriate course of action. Considerations Specific to Public Sector Entities A20. A public sector auditor may be obliged to report on instances of non-compliance to the legislature or other governing body or to report them in the auditor's report.	
	15. During the audit, the auditor shall remain alert to the possibility that other audit procedures applied may bring instances of non-compliance or suspected non-compliance with laws and regulations to the auditor's attention. (Ref: Para. A11) A11. Audit procedures applied to form an opinion on the financial statements may bring instances of non-compliance or suspected non-compliance with laws and regulations to the auditor's attention. For example, such audit procedures may include: • Reading minutes; • Inquiring of the entity's management and in-house legal counsel or external legal counsel concerning litigation, claims and assessments; and • Performing substantive tests of details of classes of transactions, account balances or disclosures.	The requirements and guidance here are focused on the audit of the financial statements. They are not repeated in Section 225. See paragraph 13(c) of Agenda Item 2-A.

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	16. The auditor shall request management and, where appropriate, those charged with governance, to provide written representations that all known instances of non-compliance or suspected non-compliance with laws and regulations whose effects should be considered when preparing financial statements have been disclosed to the auditor. (Ref: Para. A12) A12. Because the effect on financial statements of laws and regulations can vary considerably, written representations provide necessary audit evidence about management's knowledge of identified or suspected non-compliance with laws and regulations, whose effects may have a material effect on the financial statements. However, written representations do not provide sufficient appropriate audit evidence on their own and, accordingly, do not affect the nature and extent of other audit evidence that is to be obtained by the auditor.¹ 17. In the absence of identified or suspected non-compliance, the auditor is not required to perform audit procedures regarding the entity's compliance with laws and regulations, other than those set out in paragraphs 12–16.	

¹ ISA 580, *Written Representations*, paragraph 4

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<i>Obtaining an Understanding of the Matter</i> 225.11 If, in the course of performing an audit of financial statements, the professional accountant becomes aware of information concerning an instance of non-compliance or suspected non-compliance with laws and regulations, the professional accountant shall obtain an understanding of the matter, including: • The nature of the act and the circumstances in which it has occurred or may occur; and • The application of the relevant laws and regulations to the circumstances.	Audit Procedures When Non-Compliance Is Identified or Suspected 18. If the auditor becomes aware of information concerning an instance of non-compliance or suspected non-compliance with laws and regulations, the auditor shall obtain: (Ref: Para. A13) (a) An understanding of the nature of the act and the circumstances in which it has occurred; and (b) Further information to evaluate the possible effect on the financial statements. (Ref: Para. A14)	See paragraph 13(a) of Agenda Item 2-A.
	5. The auditor is responsible for obtaining reasonable assurance that the financial statements, taken as a whole, are free from material misstatement, whether caused by fraud or error.² In conducting an audit of financial statements, the auditor takes into account the applicable legal and regulatory framework. Owing to the inherent limitations of an audit, there is an unavoidable risk that some material misstatements in the financial statements may not be detected, even though the audit is properly planned and performed in accordance with the ISAs.³ In the context of	Explanatory material focused on the audit of the financial statements. Not repeated in Section 225. See paragraph 13(g) of Agenda Item 2-A.

² ISA 200, *Overall Objectives of the Independent Auditor and the Conduct of an Audit in Accordance with International Standards on Auditing*, paragraph 5

³ ISA 200, paragraphs A51-A52

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	laws and regulations, the potential effects of inherent limitations on the auditor's ability to detect material misstatements are greater for such reasons as the following: • There are many laws and regulations, relating principally to the operating aspects of an entity, that typically do not affect the financial statements and are not captured by the entity's information systems relevant to financial reporting. • Non-compliance may involve conduct designed to conceal it, such as collusion, forgery, deliberate failure to record transactions, management override of controls or intentional misrepresentations being made to the auditor. • ... Ordinarily, the further removed non-compliance is from the events and transactions reflected in the financial statements, the less likely the auditor is to become aware of it or to recognize the non-compliance.	
	21. The auditor shall evaluate the implications of non-compliance in relation to other aspects of the audit, including the auditor's risk	Requirement and guidance specific to an audit of financial statements.

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	assessment and the reliability of written representations, and take appropriate action. (Ref: Para. A17–A18) A17. As required by paragraph 21, the auditor evaluates the implications of non-compliance in relation to other aspects of the audit, including the auditor's risk assessment and the reliability of written representations. The implications of particular instances of non-compliance identified by the auditor will depend on the relationship of the perpetration and concealment, if any, of the act to specific control activities and the level of management or employees involved, especially implications arising from the involvement of the highest authority within the entity.	See paragraph 13(c) of Agenda Item 2-A.
225.25 Further action may include: • Disclosing the matter to an appropriate authority notwithstanding that there is no legal or regulatory requirement to do so.	<i>Reporting Non-Compliance to Regulatory and Enforcement Authorities</i> 28. If the auditor has identified or suspects non-compliance with laws and regulations, the auditor shall determine whether the auditor has a responsibility to report the identified or suspected non-compliance to parties outside the entity. (Ref: Para. A19–A20) A19. The auditor's professional duty to maintain the confidentiality of client information may preclude reporting identified or suspected non-compliance with laws and regulations to	See paragraph 13(b) of Agenda Item 2-A.

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	a party outside the entity. However, the auditor's legal responsibilities vary by jurisdiction and, in certain circumstances, the duty of confidentiality may be overridden by statute, the law or courts of law. In some jurisdictions, the auditor of a financial institution has a statutory duty to report the occurrence, or suspected occurrence, of non-compliance with laws and regulations to supervisory authorities. Also, in some jurisdictions, the auditor has a duty to report misstatements to authorities in those cases where management and, where applicable, those charged with governance fail to take corrective action. The auditor may consider it appropriate to obtain legal advice to determine the appropriate course of action. Considerations Specific to Public Sector Entities A20. A public sector auditor may be obliged to report on instances of non-compliance to the legislature or other governing body or to report them in the auditor's report.	
225.30 If the professional accountant determines that disclosure of the matter to an appropriate authority is an appropriate course of action in the circumstances, this will not be considered a breach of the duty of confidentiality under Section 140 of this Code. When making such disclosure, the professional accountant shall act in good faith	–	See paragraph 13(b) of Agenda Item 2-A.

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and exercise caution when making statements and assertions. The professional accountant shall also consider whether it is appropriate to inform the client of the professional accountant's intentions before disclosing the matter		

Comparative Analysis: IESBA NOCLAR ED vs. Other International Standards

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225.30 If the professional accountant determines that disclosure of the matter to an appropriate authority is an appropriate course of action in the circumstances, this will not be considered a breach of the duty of confidentiality under Section 140 of this Code. When making such disclosure, the professional accountant shall act in good faith and exercise caution when making statements and assertions. The professional accountant shall also consider whether it is appropriate to inform the client of the professional accountant's intentions before disclosing the matter.	<u>ISQC 1, <i>Quality Control for Firms that Perform Audits and Reviews of Financial Statements, and Other Assurance and Related Services Engagements</i></u> A56. Relevant ethical requirements establish an obligation for the firm's personnel to observe at all times the confidentiality of information contained in engagement documentation, unless specific client authority has been given to disclose information, or there is a legal or professional duty to do so. Specific laws or regulations may impose additional obligations on the firm's personnel to maintain client confidentiality, particularly where data of a personal nature are concerned.	See paragraph 13(b) of Agenda Item 2-A.
210.13 In the case of an audit of financial statements, a professional accountant shall request the existing accountant to provide known information regarding any facts or circumstances that, in the existing accountant's opinion, the proposed accountant needs to be aware of before deciding whether to accept the engagement. If the client consents to the existing	Additional Considerations in Initial Audit Engagements 13. The auditor shall undertake the following activities prior to starting an initial audit: (a) Performing procedures required by ISA 220 regarding the acceptance of	See paragraph 13(d) of Agenda Item 2-A.

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accountant disclosing any such facts or circumstances to the proposed accountant, the existing accountant shall provide the information honestly and unambiguously. If the client fails or refuses to grant the existing accountant permission to discuss the client's affairs with the proposed accountant, the existing accountant shall disclose this fact to the proposed accountant, who shall carefully consider such failure or refusal when determining whether or not to accept the appointment.	the client relationship and the specific audit engagement;⁴ and (b) Communicating with the predecessor auditor, where there has been a change of auditors, in compliance with relevant ethical requirements. (Ref: Para. A20)	
<i>Section 225.30 as listed above</i>	<u>ISA 240, <i>The Auditor's Responsibilities Relating to Fraud in an Audit of Financial Statements</i></u> 43. If the auditor has identified or suspects a fraud, the auditor shall determine whether there is a responsibility to report the occurrence or suspicion to a party outside the entity. Although the auditor's professional duty to maintain the confidentiality of client information may preclude such reporting, the auditor's legal responsibilities may override the	See paragraphs 13(b) and (e) of Agenda Item 2-A.

⁴ ISA 220, paragraphs 12–13

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	duty of confidentiality in some circumstances. (Ref: Para. A65–A67) A65. The auditor's professional duty to maintain the confidentiality of client information may preclude reporting fraud to a party outside the client entity. However, the auditor's legal responsibilities vary by country and, in certain circumstances, the duty of confidentiality may be overridden by statute, the law or courts of law. In some countries, the auditor of a financial institution has a statutory duty to report the occurrence of fraud to supervisory authorities. Also, in some countries the auditor has a duty to report misstatements to authorities in those cases where management and those charged with governance fail to take corrective action. A66. The auditor may consider it appropriate to obtain legal advice to determine the appropriate course of action in the circumstances, the purpose of which is to ascertain the steps necessary in considering the public interest aspects of identified fraud.	

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<i>Section 225.30 as listed above</i>	<u>ISA 260 (Revised), <i>Communication with Those Charged with Governance</i></u> 7. Law or regulation may restrict the auditor's communication of certain matters with those charged with governance. For example, laws or regulations may specifically prohibit a communication, or other action, that might prejudice an investigation by an appropriate authority into an actual, or suspected, illegal act. In some circumstances, potential conflicts between the auditor's obligations of confidentiality and obligations to communicate may be complex. In such cases, the auditor may consider obtaining legal advice.	See paragraph 13(e) of Agenda Item 2-A.
Responsibilities of Professional Accountants Performing Audits of Financial Statements <i>Complying with Applicable Laws and Regulations</i> 225.10 In some jurisdictions, there are legal or regulatory provisions governing how professional accountants should address non-compliance or suspected non-compliance with laws and regulations. The professional	<u>ISA 450, <i>Evaluation of Misstatements Identified During the Audit</i></u> A8. Law or regulation may restrict the auditor's communication of certain misstatements to management, or others, within the entity. For example, laws or regulations may specifically prohibit a communication, or other action, that might prejudice an investigation by an appropriate authority into an actual, or suspected, illegal act.	See paragraph 13(e) of Agenda Item 2-A.

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accountant shall obtain an understanding of those provisions and comply with them, including any prohibitions on alerting (“tipping-off”) the client prior to making any disclosure, for example, pursuant to anti-money laundering legislation.	In some circumstances, potential conflicts between the auditor's obligations of confidentiality and obligations to communicate may be complex. In such cases, the auditor may consider seeking legal advice.	
225.36 If the professional accountant suspects that non-compliance with laws and regulations has occurred or may occur, the professional accountant shall discuss the matter with the appropriate level of management and, if the professional accountant has access to them and where appropriate, those charged with governance 225.46 If the professional accountant determines that disclosure of the matter to an appropriate authority is an appropriate course of action in the circumstances, this will not be considered a breach of the duty of confidentiality under Section 140 of this Code. When making such disclosure, the professional accountant shall act in good faith and exercise caution when making	<u>ISRE 2400 (Revised), <i>Engagements to Review Historical Financial Statements</i></u> 52. When there is an indication that fraud or non-compliance with laws or regulations, or suspected fraud or non-compliance with laws or regulations, has occurred in the entity, the practitioner shall: (a) Communicate that matter to the appropriate level of senior management or those charged with governance as appropriate; (b) Request management's assessment of the effect(s), if any, on the financial statements; (c) Consider the effect, if any, of management's assessment of the effects of fraud or non-compliance with laws or regulations communicated to the practitioner on the practitioner's conclusion on	See paragraph 13(b) of Agenda Item 2-A.

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statements and assertions. The professional accountant shall also consider whether it is appropriate to inform the client of the professional accountant's intentions before disclosing the matter.	the financial statements and on the practitioner's report; and (d) Determine whether there is a responsibility to report the occurrence or suspicion of fraud or illegal acts to a party outside the entity. (Ref: Para. A92) Fraud and non-compliance with laws or regulations (Ref: Para. 52(d)) A92. Under this ISRE, if the practitioner has identified or suspects fraud or illegal acts, the practitioner is required to determine whether there is a responsibility to report the occurrence or suspicion to a party outside the entity. Although the practitioner's professional duty to maintain the confidentiality of client information may preclude such reporting, the practitioner's legal responsibilities may override the duty of confidentiality in some circumstances.	
<i>Various</i>	<u>ISAE 3402, Assurance Reports on Controls at a Service Organization</u> Other Communication Responsibilities 56. If the service auditor becomes aware of non-compliance with laws and	See paragraph 13(b) of Agenda Item 2-A,

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	regulations, fraud, or uncorrected errors attributable to the service organization that are not clearly trivial and may affect one or more user entities, the service auditor shall determine whether the matter has been communicated appropriately to affected user entities. If the matter has not been so communicated and the service organization is unwilling to do so, the service auditor shall take appropriate action. (Ref: Para. A53) Other Communication Responsibilities (Ref: Para. 56) A53. <u>Appropriate</u> actions to respond to the circumstances identified in paragraph 56 may include: • Obtaining legal advice about the consequences of different courses of action. • Communicating with those charged with governance of the service organization. • Communicating with third parties (for example, a regulator) when required to do so.	

Category 1 Items: IESBA NOCLAR Exposure Draft vs. the IAASB's International Standards
IAASB Main Agenda (June 2015)

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	• Modifying the service auditor's opinion, or adding an Other Matter paragraph. • Withdrawing from the engagement.	